4.1. ILLIQUIDITY RISK PREMIUMS ACROSS ASSET CLASSES

Figure 13.5 is from Antti Ilmanen's (2011) wonderful book, *Expected Returns*, and plots average returns on illiquidity estimates. The average returns are computed from (reported) data over 1990 to 2009. The illiquidity estimates represent Ilmanen's opinions. Some private equity investments are more liquid than certain hedge funds, and some infrastructure investments are much less liquid than private equity, so it is hard to pigeon-hole these asset classes in terms of illiquidity. Nevertheless, Figure 13.5 seems to suggest a positive relation between how illiquid an asset class is and its expected return. Figure 13.5 represents "conventional" views among most market participants that there is a reward to bearing illiquidity across asset classes.

This conventional view is flawed for the following reasons:

1. Illiquidity biases.

   As Section 3 shows, reported data on illiquid assets cannot be trusted. The various illiquidity biases—survivorship, sampling at infrequent intervals, and selection bias—result in the expected returns of illiquid asset classes being overstated using raw data.
2. Ignores risk.

   Illiquid asset classes contain far more than just illiquidity risk. Adjusting for these risks makes illiquid asset classes far less compelling. Chapter 10 showed that the NCREIF real estate index (despite the artificial rosiness of its raw returns) is beaten by a standard 60% equity and 40% bond portfolio. Chapters 17 and 18 will show that the average hedge fund and private equity fund, respectively, provide zero expected excess returns. In particular, after adjusting for risk, most investors are better off investing in the S&P 500 than in a portfolio of private equity funds.

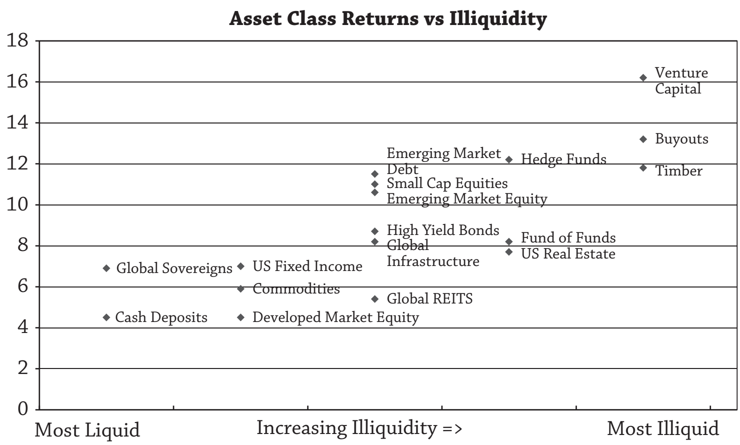

Figure 13.5